THE RATTY2TAILS PAPERS

MONETARY HISTORY SERIES · COMMENTARY

Four Words for One Balance Sheet

An essay on, and a critique of, the "Digital Capital, Equity, Credit and Money" framework in a Bitcoin treasury company's weekly shareholder letter



RATTY2TAILS, ON SITE AT THE FEDERAL RESERVE BOARD OF GOVERNORS

Ratty2Tails · 24 October 2026 · Commentary on a single source document. Not financial advice.

TL;DR

- The letter says the future financial system will be *built on the Bitcoin network* and offers four layers: Digital Capital, Equity, Credit and Money. Only the bottom layer actually lives on that network. The other three are corporate securities and prospective funds, settled in sterling through the old system.
- The letter deserves credit for candour: it admits the ordinary share price is weak, that preferred sales so far are tiny, and that none of the stability on offer is guaranteed. Its dividend arithmetic checks out.
- The central gap is simple. Bitcoin pays no coupon, yet a 12% dividend must be paid every week. The letter praises a new metric designed to show whether that is covered, and then does not report the number.
- "Digital Money" is the stretch. A stable-value claim funded by risky assets is the oldest problem in banking, and it is a sterling promise sitting inside a thesis that expects sterling to fail.
- Verdict: a credible capital-markets story, a thin monetary one, written by an interested party. Read it as a sales document, and ask for the missing numbers.

INTRODUCTION AND SCOPE

What this essay is, and is not

This essay reads one document closely: a weekly shareholder letter from the leader of The Smarter Web Company, a London-listed company that holds a Bitcoin treasury and runs web-design businesses alongside it. The letter, covering the week to Friday 23 October 2026, does two things. It sets out a conceptual framework borrowed from Michael Saylor, and it reports the week's corporate news: a dividend notice, an at-the-market (ATM) share sale, and a Bitcoin purchase.

The aim is to explain the framework fairly, say what it gets right, and then press on where it is weakest. Every figure below is taken from the letter as written. I have not checked them against the company's regulatory announcements or prospectus, and where I add my own arithmetic I say so. This is commentary, not advice, and I hold no view on whether any security mentioned is worth buying. Ratty is pointing at the Federal Reserve because the question the letter raises is, at bottom, a question about money, and money is what that building is for.

PART ONE

The stack as described

The letter's opening claim is large: the future global financial system will increasingly be built on top of the Bitcoin network. It then builds a four-storey structure to support it.

Digital Capital is Bitcoin itself: a 21 million coin cap, issuance that halves roughly every four years, no controlling government or company. **Digital Equity** is a company that accumulates Bitcoin and uses capital markets to raise the Bitcoin attributable to each share; here, the ordinary shares (SWC). The letter is honest that this amplifies Bitcoin's moves in both directions. **Digital Credit** is the preferred share (MORE), listed on the Main Market of the London Stock Exchange: a cumulative, variable-rate dividend, currently 12% a year on a £100 reference price, paid weekly, ranking ahead of the ordinary shares. **Digital Money** goes a step further: credit instruments combined with cash or near-cash to produce something that holds a stable value, earns income, and can move as tokens, funds or accounts.

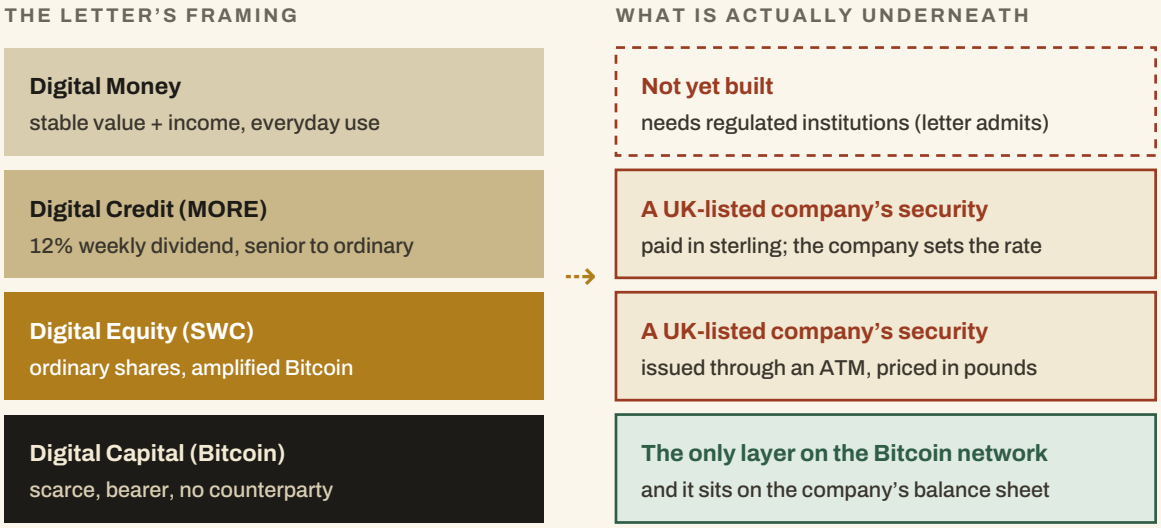


Figure 1. The same stack, described two ways. Left: the letter's labels. Right: where each layer actually lives. Green = on-chain, no counterparty. Rust = a claim on a company.

PART TWO

What the letter gets right

A critique that only lists faults is a poor one, so start with the merits.

It is candid about volatility. The ordinary-share section says outright that amplification works in both directions and that Digital Equity can be considerably more volatile than Bitcoin. The preferred section says lower volatility is an objective, not a guarantee. Many promotional letters of this type say neither.

It reports a weak week as a weak week. The author concedes that the ordinary share price has not shown the strength he wanted, that this limits the ATM, and that only a small number of MORE shares have sold. He also says the right test of fundraising is whether it adds value per existing share, not whether it raises money. That is the correct test.

It marks its own regulatory limits. The closing section states that the company is an operating business with a Bitcoin treasury, not a regulated financial services firm, and that Digital Money would need regulated institutions.

The numbers it gives are internally sound. A 12% rate on £100 over seven days of a 365-day year is £12 × 7 ÷ 365 = £0.2301, exactly the figure announced. The ex-dividend, record and payment dates are consistent with one another.



Figure 2. The "weekly" dividend, as announced. Dates from the letter; the 17-day gap is my arithmetic.

PART THREE

The critique

1. "Built on the Bitcoin network" is not what the stack is

The headline claim and the body of the letter do not match. A MORE share is a claim on a UK company, traded on the London Stock Exchange, paying dividends in pounds at a rate the company sets. The ATM, the broker, the exchange, the settlement system and the regulator are all the existing system. The only component on the Bitcoin network is the treasury, and that sits on the company's balance sheet rather than serving as a base for a new set of rails.

The distinction matters most to those who hold Bitcoin for the very reason that it has no counterparty. Every layer above the bottom one *adds* counterparties: the company, its management, its financing agent, its auditors, its regulator. What the letter describes is not a new financial system. It is the old one adopting a new collateral type. That may be good for Bitcoin demand, and it may be a sound business, but it is a different claim from the one in the opening paragraph.

History offers a cautionary parallel. Gold's monetary role shrank not because gold failed but because claims multiplied on a fixed base: banknotes, deposits and, after the 1922 Genoa conference, foreign-exchange reserves counted as if they were gold. Britain's return to gold in 1925 was the story of a pyramid of claims resting on too little metal. A scarce base does not prevent layered claims. It can make them more fragile, because everyone is promised the same scarce thing.

2. Where does the 12% come from?

Bitcoin pays no interest. A weekly dividend on a senior security therefore has to come from one of three places: the operating businesses' cash flow; the sale of Bitcoin; or new capital raised from investors, whether ordinary or preferred. The letter points to more than 500 client websites, which is a real business but probably not a large one next to a Bitcoin treasury of 2,850 coins.

The scale of the obligation is the key unknown, because the letter does not say how many preferred shares are in issue. The chart shows how quickly the cost grows with that number.

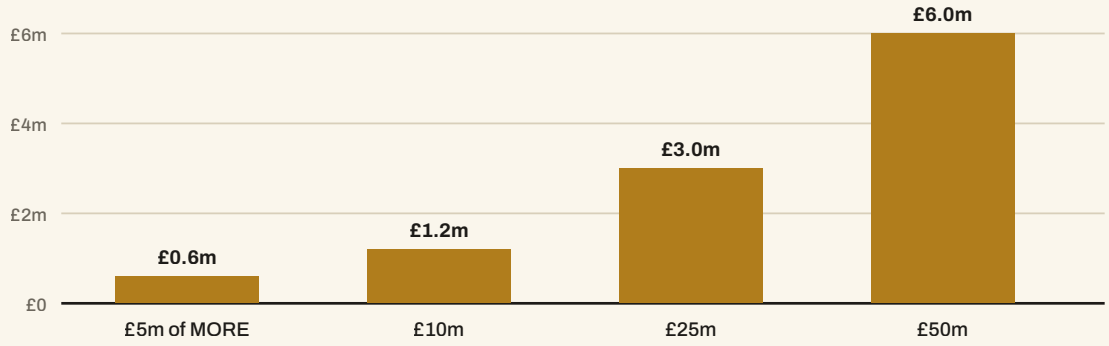


Figure 3. Annual dividend cost at 12%, for illustrative amounts of preferred shares at the £100 reference price. Illustrative only: the letter does not state the amount in issue.

For every £10 million of preferred shares, the weekly bill is about £23,000 and the annual bill about £1.2 million. That is paid before ordinary shareholders see anything. In effect, preferred holders lend to ordinary holders at 12%, and ordinary holders keep whatever Bitcoin earns above that hurdle. In a rising market that is leverage working for them. In a falling or flat one, the hurdle stays put.

3. The variable rate and the reflexivity problem

The letter calls the dividend "variable-rate" and says it is "currently" 12%, but does not say who sets it, how often, or within what bounds. That matters. If the rate is the tool used to hold the share near £100, then pressure on the price pushes the rate up, which raises the company's costs exactly when its collateral is weakest. I do not know whether MORE works this way, as the letter does not say, and readers should check the prospectus. But structures of this type invite the question, and a letter in this much detail should answer it.

There is a quieter point about price discovery. The company sets the £100 reference price, sells at £100 through its own ATM, and hopes the market trades around £100. The letter is honest that this is a hope. But with only a "small number" sold, there is very little market evidence yet that £100 is the clearing price rather than a number the issuer supplies.

4. The metrics praised, but not reported

The letter welcomes TD Cowen's new comparison framework, with its two measures, BTC Rating and BTC Fixed Charge Coverage, designed to show how much Bitcoin stands behind each instrument and how well it covers its payments. Those are the right questions. They are also the figures a reader most wants, and the letter does not give them. Nor does it give the mNAV at which the ATM is working, only that it is "reasonable", or the number of preferred shares in issue, or the total annual preferred dividend.

The headline "Bitcoin Yield" of 2.41% quarter-to-date has a similar problem. As the measure is usually built, it tracks Bitcoin per ordinary share. It does not by itself show the weight of the prior-ranking claims above those shares, which is the very thing MORE adds. The author's stated ambition is net Bitcoin per fully diluted ordinary share; the headline KPI is not obviously that.

Two of my own calculations raise questions the letter could answer in a line. First, 2,850 coins after a 3.75% rise over two weeks implies roughly 100 coins added over that fortnight, so about 80 the week before this week's 20. Second, on rough recent prices of £60,000 or more per coin, 20 Bitcoin is worth in the region of £1.2 million, about twice the week's £592,679 of gross ATM proceeds. That need not be a problem, as other cash may fund it. But a reader cannot tell where the money came from.

5. Digital Money: the oldest problem in banking

The most ambitious paragraph is the least supported. A product that holds a stable value, earns a return, and can be redeemed on demand is a deposit or a money-market fund, and the central finding of Diamond and Dybvig's 1983 model is that this combination is intrinsically exposed to runs when the assets behind it are less liquid or less certain than the promise. Backing the promise partly with Bitcoin-backed credit does not repeal that. It is why such products are regulated, and the letter says so.

There is a deeper tension. The stability on offer is stability in *pounds* or dollars. A thesis that Bitcoin may become the foundation of the financial system sits oddly with a product whose selling point is steadiness against the fiat unit. If the unit is about to be displaced, why build a premium product to track it? Seen from this side, "Digital Money" looks less like a new kind of money than a way to sell sterling-denominated safety to people who hold Bitcoin. That could be a good business. It is not an Austrian one, and the company itself says it will need others to build it.

6. Rhetoric, and the position of the author

The letter leans on three persuasive devices. The first is **institutional endorsement by proximity**: Fidelity, JPMorgan, BlackRock and TD each "released updates relating to Bitcoin" this week. That is vague enough to be true of almost any week. Research coverage is not endorsement, and inclusion in a comparison table is not a rating of safety. The second is **the historical analogy**: the internet, then AI. Analogies are inspiring and pricing nothing. For each tech-

nology that became essential there were many whose backers also said so. The third is **the confident close**: that the direction of travel is "increasingly clear" and there is "a very good chance" it will catch on, a sentence that no result could contradict.

The market's verdict on the ordinary shares is the one piece of independent evidence in the letter, and it is treated as a temporary inconvenience.

Then there is position. The author runs the company whose securities are being described, and has every reason to want them to succeed. That is not a charge of bad faith; the letter's candour in places suggests the opposite. It is a reason to read it as an advocate's document. The format reinforces this: a framework for the future of finance, an ATM report, a conference promotion with an early-bird ticket deadline, and a web-design plug share one page. The risk disclaimers are real, but they arrive as a clearing paragraph near the end rather than being woven into the argument.

PART FOUR

Ten questions worth asking

1. How many MORE shares are in issue, and what is the total annual dividend at the current rate?
2. Over the next twelve months, how much of that is covered by operating cash flow, and how much by new issuance or Bitcoin sales?
3. Who sets the dividend rate, how often, and within what limits? What happens to it if MORE trades well below £100?
4. What are the BTC Rating and BTC Fixed Charge Coverage figures for MORE, on the same basis as the peers in the TD Cowen table?
5. What is the mNAV, and at what level will the ordinary-share ATM stop?
6. How is "Bitcoin Yield" defined, and does it account for the preferred claim ranking ahead of ordinary shares?
7. How was the 20 Bitcoin purchase funded?
8. What does cumulative mean in practice: how large could arrears become, and what restrictions apply to ordinary dividends or buybacks while they exist?
9. Where and how is the Bitcoin held, and who audits it?
10. Which entities would carry the regulated activity if Digital Money ever arrived, and is the company one of them?

SUMMARY

One balance sheet, four labels

The letter is better than most of its kind: clear, mostly candid, and arithmetically careful. Its framework gives investors a useful vocabulary for different appetites for risk, and splitting Bitcoin exposure into equity-like and credit-like claims is a legitimate piece of capital-structure engineering. Its mistake is to present that engineering as a new monetary system. Four labels describe one company's balance sheet at different seniorities; only the lowest is on the Bitcoin network, and the rest add counterparties rather than removing them.

The decisive question is the plain one. A 12% weekly-paid dividend is a promise, and a promise is only as good as the cash behind it. Bitcoin does not pay coupons. Until the coverage numbers are published alongside the praise for them, the framework is a story about what could be built, and the dividend is a story about what must be paid.

REFERENCES

Sources

[1] Weekly shareholder letter of The Smarter Web Company, week ending Friday 23 October 2026 (primary source; all company figures taken from it as written).

[2] Saylor, M., public explanations of the Digital Capital, Digital Equity, Digital Credit and Digital Money framework (as referred to in [1]).

[3] TD Cowen, *Digital Credit Weekly* framework, including BTC Rating and BTC Fixed Charge Coverage (as described in [1]; not independently reviewed).

[4] Diamond, D. W. and Dybvig, P. H. (1983), "Bank Runs, Deposit Insurance, and Liquidity", *Journal of Political Economy* 91(3), 401–419.

[5] BTC/GBP price context: public rate snapshots from September–October 2026 (roughly £60,000–£65,000 per coin); used only for the order-of-magnitude comparison in Part Three, section 4.

This essay comments on one document and is based on figures as stated in it, which have not been verified against regulatory filings. It is not financial, investment or legal advice, and nothing here is a recommendation to buy, sell or hold any security. Preferred and ordinary shares and Bitcoin can fall as well as rise in value, and you may lose some or all of what you put in. © The Ratty2Tails Papers.